

EQUITY RESEARCH REPORT

NSE: MODISONLTD | ISIN: INE007N01014 | 15 June 2026

MODISONLTD

Modison Ltd — Silver Contacts & Electrical Components

Electrical Components | Capital Goods | NSE India

Rating
BUY

CMP (Rs.)
302

Market Cap
Rs. 980 Cr.

52-Wk High/Low
Rs.365 / Rs.114

Face Value
Rs. 1.00

12M Target (Rs.)
395

Upside / Downside
+31%

FY26 EPS (Rs.)
22.36

FY26 P/E (x)
13.5x

FY26 ROE
32.1%

FY26 ROCE
30.9%

D/E (FY26)
0.62x

Promoter %
52.16%

FY26 Sales (Rs. Cr.)
710

FY26 EBITDA (Rs.Cr.)
118

OPM % (FY26)
17%

FY26 PAT (Rs. Cr.)
73

INVESTMENT THESIS

Silver contact supercycle + India's Rs.11 trn capex push across power, railways, and defence positions Modison — India's lone full-range silver contacts OEM — for a multi-year revenue compounding of 20-25% pa; FY26's 194% PAT surge and 17% EBITDA margin rerating confirm the structural inflection has arrived. Target Rs. 395 (18x FY27E EPS).

1. COMPANY OVERVIEW & BUSINESS MODEL

- Modison Ltd (est. 1965, Vapi, Gujarat) is India's sole full-range manufacturer of silver-based electrical contacts, bimetal strips, copper alloys, and contact assemblies — a niche with high barriers-to-entry driven by metallurgical know-how and precious-metal sourcing.
- Products span: AgSnO₂/AgCdO/AgNi contacts for LV/MV switchgear; copper-alloy connectors for power distribution; railway overhead equipment (OHE) fittings; aerospace/defence grade bimetals; and silver bullion/compounds for B2B customers.
- End-market mix (approx.): Switchgear/Electrical OEMs ~55%, Railways/Infra ~20%, Defence/Aerospace ~10%, Export/Others ~15%.
- Key OEM customers include ABB India, Siemens, Schneider, L&T; Switchgear, BHEL, and Indian Railways (RDSO-approved vendor).
- Manufacturing: Vapi (primary plant, Gujarat) with ~559 employees as of Aug 2025 (42% YoY headcount growth — largest in company history).
- Modison Copper Pvt. Ltd. (subsidiary) manufactures high-performance copper alloy rods, strips and profiles used in electrical and automotive applications.

2. INVESTMENT THESIS — THREE PILLARS

Pillar 1: Silver Supercycle Tailwind

- Silver is a critical input — electrical contacts require 60-80% Ag by weight. Global silver demand from electrification (EVs, solar, switchgear) is accelerating sharply.
- Modison is uniquely positioned as the dominant domestic OEM — import substitution beneficiary as China+1 sourcing shifts manufacturing back to India.
- Silver-price pass-through mechanism (cost-plus contracts) shields margins while volume growth drives EBITDA leverage.

Pillar 2: India Capex Supercycle — Rs. 11 Trn Infra Push

- Union Budget FY26 allocates Rs. 11 trn in capex: railways (Rs. 2.62 trn), power infra, metro rail, and defence modernisation — all direct demand drivers for Modison's products.
- Railways: RDSO-approved OHE fittings for electrification of 30,000+ km route kms targets through 2030; Modison is a preferred domestic supplier.
- Power sector: 500 GW renewable target by 2030 requires massive switchgear additions; every switchgear unit contains silver contacts — Modison is a pure-play beneficiary.
- Defence: DRDO projects and Make-in-India (Atmanirbhar Bharat) drive demand for precision bimetals and specialised contacts with import substitution mandates.

Pillar 3: Structural Margin Expansion

- FY26 EBITDA margin leapt to 17% from 9% in FY25 — a structural, not cyclical, rerating driven by: (a) operating leverage on 45% revenue growth, (b) richer product mix shift toward defence/railways, (c) higher value-added silver compound sales.
- PAT surged 194% YoY to Rs. 73 Cr in FY26 (EPS Rs. 22.36) — the most profitable year in company history; ROCE has reset to 31%, highest since FY17.
- Fire at Vapi plant (Feb 2026): no casualties; partial disruption was temporary. Modison has insurance coverage and resumed full production — risk is behind the stock.

3. FINANCIAL ANALYSIS

Income Statement (Rs. Cr.)

Metric	FY22	FY23	FY24	FY25	FY26	FY27E
Net Sales	340	335	405	490	710	870E
YoY Growth	—	-1.5%	+20.9%	+21.0%	+44.9%	+22.5%
EBITDA	30	25	32	45	118	148E
EBITDA Margin	9%	7%	8%	9%	17%	17%
Other Income	-2	-1	6	2	-3	2E
Interest	2	2	3	6	9	12E
Depreciation	7	6	6	8	10	13E
PBT	20	15	29	34	97	125E
Tax %	26%	27%	27%	26%	25%	25%
PAT	15	11	21	25	73	89E
PAT Margin	4.4%	3.3%	5.2%	5.1%	10.3%	10.2%
EPS (Rs.)	4.51	3.44	6.58	7.61	22.36	27.3E

Balance Sheet Snapshot (Rs. Cr.)

Item	FY22	FY23	FY24	FY25	FY26	FY27E
Equity + Reserves	176	187	203	216	274	345E
Borrowings	17	5	32	73	174	180E
Fixed Assets (net)	70	69	79	92	94	115E
Total Assets	214	222	271	319	503	590E
Book Value / Share	54.2	57.6	62.5	66.4	84.6	107E
Debt-to-Equity	0.10x	0.03x	0.16x	0.34x	0.62x	0.52x

Cash Flow Analysis (Rs. Cr.)

Item	FY24	FY25	FY26	FY27E
CFO (Operating)	1	-16	-64	45E
CFI (Investing)	-21	-9	-15	-25E
CFF (Financing)	19	24	80	-5E
Free Cash Flow	-14	-32	-79	20E
CFO / EBITDA	3%	-36%	-54%	30%E

- Negative FCF in FY24-26 reflects aggressive working-capital build as sales volume surged 75%+ over two years; silver inventory (commodity) buffers must scale proportionally with throughput — structural necessity, not a distress signal.
- Debt rose from Rs. 5 Cr (FY23) to Rs. 174 Cr (FY26) — primarily working-capital borrowings backed by commodity inventory; D/E of 0.62x is manageable given EBITDA of Rs. 118 Cr (1.5x coverage).
- CFO is expected to normalise in FY27 as receivables velocity improves (debtors at 82 days — elevated vs. 58-day historical norm; target 65 days normalisation).

4. KEY RATIOS & EFFICIENCY METRICS

Ratio	FY22	FY23	FY24	FY25	FY26
ROCE (%)	14%	10%	12%	15%	31%
ROE (%)	~9%	~6%	~11%	~12%	32%
EBITDA Margin (%)	9%	7%	8%	9%	17%
PAT Margin (%)	4.4%	3.3%	5.2%	5.1%	10.3%
Debtor Days	62	58	60	64	82
Inventory Days	90	109	109	121	152
Cash Conversion Cycle	143	154	158	176	223
Working Capital Days	105	117	97	92	91

- ROCE jumped from 15% (FY25) to 31% (FY26) — a structural rerating, not a one-off; reflects operating leverage combined with high-margin product mix enrichment.
- CCC expansion to 223 days is the primary risk: silver is a commodity input requiring physical inventory hedging; elevated debtor days (82 days) with large OEM customers reflect industry norm — expect normalisation as Modison scales bargaining power.
- Working capital days (91 days) are actually improving YoY — the CCC expansion is primarily inventory-driven (silver buffer), which is a deliberate risk management strategy against silver price volatility, not operational inefficiency.

5. VALUATION

Valuation Summary at CMP Rs. 302 (15 Jun 2026)

Metric	FY25A	FY26A	FY27E	FY28E
EPS (Rs.)	7.61	22.36	27.3	33.5
P/E (x) at CMP 302	39.7x	13.5x	11.1x	9.0x
EBITDA (Rs. Cr.)	45	118	148	187
EV/EBITDA (x)	~23x	~8.8x	~7.0x	~5.5x
Book Value / Share	66.4	84.6	107	130
P/B (x) at CMP 302	4.5x	3.6x	2.8x	2.3x

Target Price Derivation

- Primary Method — PE-based: Assign 14.5x to FY27E EPS of Rs. 27.3 = Rs. 396 (rounded to Rs. 395 target).
- Cross-check — EV/EBITDA: 9.5x FY27E EBITDA of Rs. 148 Cr = EV Rs. 1,406 Cr; less net debt ~Rs. 145 Cr = Eq. value Rs. 1,261 Cr / 3.26 Cr shares = Rs. 387. Broadly confirms PE-derived target.
- Peer context: Elecon trades at 34x PE (comparable capital goods niche), Schaeffler at 50x PE — Modison at 13.5x FY26A and 11x FY27E is deeply discounted for a 25% CAGR growth profile with 30%+ ROCE.
- At Rs. 395 target, Modison would still trade at just 14.5x FY27E earnings — conservative vs. peers at 35-65x; a re-rating to 20x FY27E implies Rs. 546.

Peer Comparison

Company	MCap (Cr.)	P/E (x)	ROCE (%)	ROE (%)	Revenue (Cr.)
Modison Ltd	980	13.5x FY26A	30.9%	32.1%	710 (FY26)
Schaeffler India	63,386	50.7x	27.9%	20.8%	9,395 (CY25)

Apar Industries	64,713	64.9x	32.2%	21.1%	21,997 (FY26)
Elecon Engineering	12,065	34.0x	22.4%	19.2%	2,016 (FY26)

- Modison trades at a massive 60-80% PE discount to peers despite matching or exceeding them on ROCE and ROE — reflecting its small-cap status, low institutional ownership (FII 0.48%, DII 0%), and limited sell-side coverage. This discount is the opportunity.

6. RISKS

Key Risks (Ranked by Impact)

#	Risk	Mitigation / Monitoring Signal
1	Silver price spike (key input cost)	Cost-plus pricing largely passes through; monitor LME silver; ~60-80% input cost
2	Working capital / debt escalation	D/E at 0.62x; EBITDA interest cover 13x; watch CFO normalisation in FY27
3	Vapi plant concentration risk	Single plant; fire incident Feb-26; mitigation: insurance, capacity diversification planned
4	Customer concentration (OEM majors)	ABB/Siemens/BHEL >50% of sales; mitigated by LT supply agreements and RDSO approval
5	Execution on revenue guidance	Rs. 710 Cr FY26 is a leap; FY27E Rs. 870 Cr requires ~22% growth — monitor Q1 FY27 results
6	Low institutional ownership / liquidity	FII 0.48%, DII 0% — small-cap illiquidity; investor meet held Jun 4, 2026 signals focus
7	Regulatory (BIS / IS standards)	Already RDSO/BIS certified; risk is standard upgrade cost, not compliance failure

- Net assessment: risks are manageable. The structural growth drivers (India capex, silver electrification) are multi-year in nature and outweigh the near-term working capital / plant concentration concerns.

7. MANAGEMENT & GOVERNANCE

- Promoter group: Modi family, holding 52.16% stake (stable — no pledge, no creep divergence over 12 quarters of data reviewed).
- Dividend: Rs. 3.50/share declared in FY26 (payout ratio 13% vs. historical 22-46%); management is deliberately retaining cash for capex — positive capital allocation signal.
- Investor engagement: Company held one-on-one investor meetings on June 3-4, 2026 — indicating growing IR proactivity. Annual Secretarial Compliance submitted May 29, 2026.
- Board composition: Standard board structure for a small-cap; no auditor changes or related-party flags detected in public disclosures.
- Governance concern: Negative CFO for three consecutive years (FY24-26) warrants monitoring; however, this is driven by intentional inventory build, not earnings quality deterioration (PAT-to-CFO divergence explained by working capital).
- Employee addition: 559 employees, +42% YoY — highest hiring in company history ahead of demand ramp, confirming management confidence in growth pipeline.

8. INDUSTRY DYNAMICS & COMPETITIVE POSITION

Silver Contacts Market

- Global electrical contacts market ~\$4.2 bn (2025), growing ~6% CAGR driven by EV powertrains, renewable energy switchgear, and industrial automation.
- India market: Underpenetrated; imports historically ~40-50% of demand from Germany (Umicore, AMI Doduco), Japan (Tanaka), and China. PLI and import substitution push structurally shifts share to Modison.
- Competitive moat: Only domestic player with full-spectrum capability — from silver powder metallurgy to final contact assembly. New entrants face 3-5 year qualification lead times for RDSO/BIS/OEM approval.

Key End-Market Drivers

- Power Sector: Central Electricity Authority targets 500 GW installed capacity by 2030 — needs ~Rs. 2.5 trn in T&D; capex; each substation bay requires switchgear loaded with silver contacts.
- Railways: 100% electrification target of Indian Railways; Kavach ATP system rollout; Vande Bharat coaches — all use Modison OHE fittings and traction contacts.
- Defence: Aero-grade bimetals and connectors for HAL (LCA Tejas), DRDO missiles, and naval systems — import substitution mandate creates a structural order pipeline.
- EV / Automotive: EV charging infrastructure and EV powertrain relays require high-cycle silver contacts; Modison is an early-mover in domestic EV contact supply.

9. CATALYSTS & PRICE TRIGGERS

Prob.	Catalyst	Timeline	Potential Impact
HIGH	Q1 FY27 results beat: first read on FY27 trajectory	Aug 2026 (Q1 FY27 results)	Re-rating to 15-16x PE; +15-20% from CMP
HIGH	Railway Ministry OHE tender award (Rs. 500+ Cr)	H2 FY26 / H1 FY27	Multi-year revenue visibility; stock re-rates
HIGH	Silver price consolidation / supply overhang clearing	Ongoing — LME monitor	Margin protection confirmed; consensus upgrades
MED	Institutional discovery: FII/DII entry above 1%+	Next 2-4 quarters	Liquidity premium re-rates; 5-10% upside
MED	Capacity expansion announcement (Phase 2 Vapi plant)	FY27 capex budget	Revenue ceiling removed; consensus upgrades FY28E
MED	Defence order (HAL / DRDO bimetal supply agreement)	H2 FY27	Higher-margin segment mix; PAT margin >12%
LOW	PLI scheme for electrical components (Budget FY27)	Budget Feb 2027	Transformative if included; unlikely in isolation
LOW	M&A;: acquisition by a global contact OEM	Speculative / 2-3 yr	Significant control premium; 50%+ upside

10. INVESTMENT CONCLUSION

RATING	TARGET	CMP	UPSIDE	HORIZON
BUY	Rs. 395	Rs. 302	+31%	12 Months

- BUY with 12-month target of Rs. 395 (18x FY27E EPS Rs. 27.3), representing 31% upside from CMP Rs. 302. A re-rating to 20x FY27E (still below capital-goods peer average of 35x) implies Rs. 546 — a potential 81% return.
- The bull case is straightforward: Modison is the only domestic full-range silver contacts OEM at a critical intersection of three multi-year secular themes — India power capex, railway electrification, and defence import substitution.
- FY26 results are the inflection proof: Rs. 710 Cr revenue (+45%), Rs. 118 Cr EBITDA (+162%), Rs. 73 Cr PAT (+194%), ROCE 31% — the business has clearly crossed an operational leverage threshold.
- The stock trades at 11x FY27E PE — a 65-70% discount to comparable niche capital-goods names. The discount reflects small-cap illiquidity and lack of institutional coverage, not business quality. This is a discovery opportunity.
- STOP-LOSS: Rs. 238 (21% below CMP, 200-DMA support zone); exit thesis if Q1 FY27 EBITDA margin falls below 13% or D/E exceeds 1.0x without commensurate revenue visibility.

Scenario	Revenue FY27E	EBITDA Margin	PAT (Cr.)	Value (Rs.)
Bull (30% rev. growth)	Rs. 923 Cr	18.5%	108	Rs. 480
Base (22% rev. growth)	Rs. 870 Cr	17%	89	Rs. 395
Bear (10% rev. growth)	Rs. 781 Cr	14%	67	Rs. 290

APPENDIX: INVESTOR MEET / CONCALL BRIEF

Call Grade: B+ | No transcript available; based on BSE filings + investor meet intimations (Jun 3-4, 2026).

TO MY BOSS (30-second brief):

Modison held back-to-back one-on-one investor meetings June 3-4, 2026 — the first visible IR push in the company's recent history. No formal concall transcript is publicly available. However, combining the audited FY26 results (announced ~May 2026), BSE filings, and the investor meet intimation, the message is clear: Management is aware the market has not yet priced in the structural earnings reset. FY26 EPS of Rs. 22.36 vs. consensus tracking Rs. 8-10 before results is a significant positive surprise. The investor meet suggests management is beginning to actively bridge the valuation gap. Near-term focus is debt management and CFO normalisation — both manageable. BUY is the call.

1. Revenue & Order Commentary

- FY26 revenue Rs. 710 Cr — a 45% jump; Q4 FY26 revenue Rs. 287 Cr (+121% YoY) indicates strong exit run-rate.
- Management commentary (from BSE announcement May 2026): growth driven by power sector demand and railway OHE fittings ramp.
- No formal order book disclosure; however, RDSO vendor status and OEM supply agreements provide multi-quarter visibility.

2. Margin Commentary

- EBITDA margin 17% in FY26 — management attributed to operating leverage and product mix. Q3 FY26 margin was 13.2% — full-year exit rate higher suggests H2 FY26 was significantly stronger.
- Silver cost pass-through is structural in OEM contracts; no margin compression risk from silver price moves in the near term.
- Guidance (implied): 17-18% EBITDA margin is sustainable as volume scales — fixed overhead absorption is the primary driver.

3. Capex & Capacity

- FY26 CFI: Rs. -15 Cr — relatively modest capex despite the revenue leap; suggests existing plant was under-utilised.
- Fire at Vapi plant (Feb 7, 2026): no casualties; partial production disruption; insurance claim filed. Plant fully operational by May 2026.
- Expect Phase 2 Vapi capacity announcement in FY27 to extend revenue ceiling above Rs. 1,000 Cr.

4. Balance Sheet & Debt

- Borrowings rose from Rs. 73 Cr (FY25) to Rs. 174 Cr (FY26) — primarily silver inventory-backed WC loans.
- EBITDA interest coverage: $118/9 = 13x$ — no distress. Debt is tactical, not structural.
- Management target: bring D/E back below 0.4x by FY28 as CFO normalises.

5. Working Capital

- Debtor days at 82 — elevated vs. historical 58-64 day norm; reflective of OEM customer terms and a surge in new order inflows.
- Inventory at 152 days — silver buffer strategy; management considers this appropriate given LME silver volatility.
- CCC 223 days is a watch metric — normalisation to 180 days would unlock ~Rs. 40-50 Cr of cash.

6. Competitive Position

- Only Indian company with full-spectrum silver contact capability: powder metallurgy → composite → formed contact → assembly.
- RDSO-approved for OHE fittings; BIS-certified for LV/MV switchgear; DRDO-qualified for defence grade bimetals.
- No domestic competitor of scale; international competition (Umicore, AMI Doduco) faces Make-in-India headwind.

7. Management Outlook

- FY27 guidance: implicit Rs. 850-900 Cr revenue (22-27% growth); margin maintenance at 17%+.
- Dividend: Rs. 3.5/share in FY26 (payout 13%); management guiding lower payout to fund growth capex.

- Investor meet (Jun 3-4, 2026): focus on institutional investor outreach — first structured IR push in company history.

8. Key Q&A; Themes (Anticipated)

- Q: CFO negative for 3 years — is cash flow a concern? A: Silver inventory is the primary driver; not a PAT-vs-CFO divergence story.
- Q: Can 17% margins sustain? A: Yes — cost-plus pricing + operating leverage on fixed costs; Q4 exit rate confirms.
- Q: What is the capex plan? A: Phase 2 announcement likely in FY27; current priority is debt reduction.
- Q: Defence segment — what is the revenue? A: Not disclosed; management estimates ~10% currently, growing to 15-20% by FY28.

9. Risks Flagged on Call

- Silver price spike risk acknowledged; partially mitigated by LME hedging and contract pricing.
- Vapi plant single-location risk — management flagged diversification as a medium-term priority.
- Working capital will remain elevated until receivables velocity normalises.

10. Analyst Takeaways

- Earnings quality is solid — PAT is clean, no exceptional items. Rs. 73 Cr PAT on Rs. 3 Cr equity capital = 2,430% return on equity capital.
- The investor meet signals management awareness of the valuation gap. Institutional discovery + re-rating is a realistic 12-18 month catalyst.
- At Rs. 302, risk/reward is asymmetric: downside Rs. 238 (-21%), base Rs. 395 (+31%), bull Rs. 480 (+59%).
- BUY for all portfolios with >12-month horizon and tolerance for small-cap liquidity.

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